

BEFORE THE
FEDERAL MARITIME COMMISSION

Docket No. 16-15

WORLD IMPORTS, LTD., WORLD IMPORTS CHICAGO, LLC, and
WORLD IMPORTS SOUTH, LLC,

v.

OEC GROUP NEW YORK,

**JOINT MOTION FOR APPROVAL OF SETTLEMENT AND VOLUNTARY
DISMISSAL OF COMPLAINT**

Pursuant to the Administrative Law Judge's January 13, 2017 Order Denying Without Prejudice Request to Dismiss Proceeding ("Order"), World Imports Ltd, World Imports Chicago, LLC, and World Imports South, LLC ("Complainants") and OEC Group New York, ("Respondent") (jointly the "Parties") submit this Joint Motion in Support of Settlement and Voluntary Dismissal.

Relevant Facts

As reflected in the Presiding Judge's January 13, 2017 Order, the underlying Complaint was filed on July 8, 2016, following, and in the midst of, protracted litigation in the United States Bankruptcy Court for the Eastern District of Pennsylvania, the United States District Court for the Eastern District of Pennsylvania, the United States Court of Appeals for the Third Circuit, and the United States Supreme Court. Prior to the Respondent answering the Complaint, the Parties filed a Joint Motion to Hold Case in Abeyance on the grounds that they had reached an agreement in principle which resolved all of their ongoing litigation. Subsequently, the parties

finalized the settlement and the parties obtained an order from the bankruptcy court approving the settlement.

The Settlement Should Be Approved

The Commission has a strong and consistent policy of “encouraging settlement and engaging in every presumption which favors a finding that they are fair, correct, and valid.” *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002) (citations omitted.) The Commission’s policies, its Rules of Practice, and the Administrative Procedures Act all encourage settlements. *Old Ben Coal Co. v. Sea-Land Services, Inc.*, 18 S.R.R. 1085, 1092 (ALJ 1978). As the ALJ recognized in *Old Ben*:

The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the Parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Id. (citation omitted).

The Commission, nonetheless, reviews settlement agreements to ensure that they do not contravene any law or public policy, and are free of fraud, duress, undue influence, or mistake, or other defects which might make them unapprovable.

Here, the Complaint at issue asserted that the Respondent’s exercise of lien rights constituted a Shipping Act violation. The Respondent disputes those claims. The settlement at issue, which resolves not only the Complaint before the Commission but also the ongoing litigation in the federal courts -- which litigation has continued for more than two and one half years -- benefits both parties by permitting an immediate distribution of funds to OEC while freeing up half of the remaining assets of the Debtors from the Respondents’ lien claims.

The Parties' settlement reflects a fair and considered judgment of the merits of their respective positions, the desire to avoid unnecessary litigation costs and expense, and the desire to avoid the risks inherent in litigation. The settlement is the product of arms-length negotiations, in which counsel for both parties participated, and is free of fraud, duress, or undue influence. The Parties also submit that the settlement is free of mistake or other defects which might make it unapprovable.

Further, the settlement does not contravene law or public policy. It is not an unjust or discriminatory device, has no adverse effect on any third parties or the market for transportation services, and does not run afoul of the Shipping Act. Instead, it constitutes a prudent decision to settle longstanding and costly litigation. In sum, because the settlement is fair, reasonable and adequate, and is the product of prudent and considered judgment on the part of the Parties, it should be approved.

Respectfully Submitted,



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DATE: January 25, 2017

CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing document to the following addressees at the addresses stated by depositing same in the United States mail, first class postage prepaid, and/or via email transmission, this 25th day of January, 2017:

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